

NextEra Energy, Inc.

NEE NYSE

Hold \$86.82 ▼ 1.08% 12M Price Target \$92.00 52-Week Range \$69.24 – \$98.75

Market Cap \$181.07B

NEE: Renewable Giant Caught in IRA Rollback Crosshairs

WHAT HAPPENED

- NEE drifted down about 1% on unusually light volume (2.2M vs 13-15M recent days) — that's a half-day pre-holiday tape, not real selling. But it did break a 3-day uptrend right before the July 4th weekend, which tells me people didn't want to hold utility exposure into headline risk from Washington.
- The Barchart earnings preview matters — NEE reports late July, and expectations are anchored to renewables backlog. Any hint of project delays or tax credit uncertainty in the guidance will get punished.

WHY IT MATTERS

Here's the real story: NEE is caught in a policy tug-of-war. The bull case is that AI data centers are causing the biggest US power demand surge in 20 years, and NEE is the #1 renewables developer AND runs Florida Power & Light (a monopoly utility in a booming state) — they literally can't lose on electricity demand. The bear case is that the Trump administration and GOP Congress have been chipping away at Inflation Reduction Act (IRA) tax credits — those credits are worth billions to NEE's wind/solar economics. The stock trading at 60% of its 52-week range tells you the market hasn't picked a side yet, which is why you're seeing the \$93 puts get bought (someone hedging into earnings) alongside \$85 calls (someone betting the floor holds).

POLICY & POLITICAL WATCH

The big one to watch: Congress is actively debating modifications to IRA clean energy tax credits — specifically the Production Tax Credit (PTC) and Investment Tax Credit (ITC) that make wind and solar projects economical. If phaseouts get accelerated, NEE's renewables development returns compress meaningfully. Counterweight: FERC (federal energy regulators) is under pressure to fast-track transmission and generation permits because of AI power demand — that helps NEE build faster. Also watch tariffs on Chinese solar panels and battery components — NEE sources globally, so any tariff escalation raises project costs directly.

IS IT EXPENSIVE?

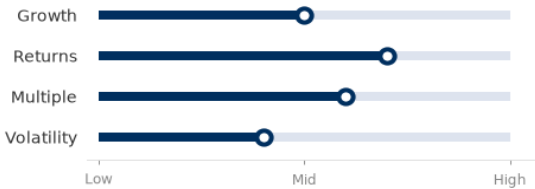
At ~24x forward earnings, you're paying \$24 for every \$1 NEE earns next year — that's a premium to boring utilities (which trade at 16-18x) but a discount to where NEE traded in 2021 (30x+). The premium is justified IF renewables growth continues; it's expensive if tax credits get gutted. EV/EBITDA of ~14x (enterprise value — the whole company's price tag — divided by cash earnings) is fair, not cheap.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$86.82
12M Price Target	\$92.00
Upside / (Downside)	+6.0%
Market Cap	\$181.07B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$31,200M
FY2026E EPS	\$3.65
FY2027E EPS	\$4.05
Fwd P/E	23.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$92.00	\$87.00	\$80.00
6 Months	\$100.00	\$90.00	\$75.00
1 Year	\$108.00	\$92.00	\$72.00
2 Years	\$125.00	\$100.00	\$70.00
5 Years	\$160.00	\$125.00	\$65.00
10 Years	\$220.00	\$165.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Comm Services and Financials leading — that's a risk-on rotation, money flowing into growth and rate-sensitive plays. Financials up on steeper yield curve expectations.

COOLING OFF: Utilities aren't on the leaderboard today, which is telling — when risk-on markets rip, defensive utilities lag. NEE getting caught in that rotation.

ROTATION WATCH: Money is rotating OUT of defensives (utilities, staples) INTO growth and cyclicals as the market bets on continued economic strength. That's a short-term headwind for NEE regardless of fundamentals.

RELATED PLAY: If you like the AI power demand thesis but want less policy risk, look at Constellation Energy (CEG) or Vistra (VST) — nuclear-heavy names that benefit from data center contracts without the tax credit dependency.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): Nuclear operator signing direct AI data center power deals at premium prices — no tax credit dependency.
- VST (Vistra): Similar nuclear + gas mix story, benefiting from Texas power demand explosion.

NEE CONTEXT: NEE is LAGGING the power-demand peer group meaningfully. CEG and VST are up big YTD while NEE is range-bound. That gap tells you the market is pricing in policy risk specific to renewables — NEE needs a clean earnings print and policy clarity to close that gap.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — solid business, real tailwind from AI power demand, but policy overhang is real and I can't ignore it.

POSITION SIZE: 3-4% — enough to matter if the thesis works, small enough that IRA rollback headlines won't ruin your week.

ENTRY POINTS: I'd add on pullbacks to \$80-83, which is where the stock found support earlier in 2026. Don't chase it above \$92 into earnings.

TIME HORIZON: 12-24 months. The catalyst is earnings clarity on renewables backlog and resolution of the IRA policy debate in Congress this fall.

WHEN TO BAIL: If IRA credits get fully repealed, or if FPL loses a major Florida rate case, or if the stock breaks \$72 on volume — that's the technical floor and it breaking means something structural changed.

HEDGING: Own a natural gas name alongside it. If renewables policy sours, gas benefits. That way you're long "electricity demand" broadly, not just renewables specifically.